

Article | 5 June 2026

FX RATES

June ECB cheat sheet: How to train your hawks

Here are our four scenarios for the 11 June ECB meeting, alongside implications for rates and FX. We think the ECB's current priority is solidifying markets' expectations on further tightening to hedge against inflation expectations de-anchoring. Our baseline is therefore a hawkish hike, with some indications the bank is prepared to raise rates again



This is our market preview of June's ECB meeting; you can find our macro team's preview [here](#).

Scenario analysis: How to position for Lagarde's alternatives

	 Inflation outlook	 Growth outlook	 Interest rates		
Current stance	Short-term upside risks due to war. If persistent, may cause second-round effects	Risks tilted to the downside, especially in the near term, due to the war	Depo rate at 2.00%. Data-dependent, meeting-by-meeting approach	EUR/USD (1.160)	10Y Bund (3.00%)
Dovish	Recent easing in energy prices somewhat reduces risk of persistent inflation	Downside risks for growth have increased, should linger even after peace	25bp hike. Must be careful not to overtighten – implicit hints of 'one and done'	1.150	3.00%
Neutral	Reiterating April views. Too early for any second-round effects. Risks still on upside	Risks still to the downside, have increased somewhat since April	25bp hike. Not giving any new guidance. Reiterating wide optionality on rates	1.158	3.00%
Hawkish ING base-case	Upside risks have increased, growing concerns on infl. expectation de-anchoring	Placing less emphasis on lingering growth risks, and more on inflation	25bp hike. Opening the door more explicitly to further hikes in coming months	1.165	3.10%
Very hawkish	Inflation impact likely to be bigger than initially thought, requiring immediate action	Explicitly prepared to accept growth impact to prevent a repeat of inflationary crisis	25bp hike. Strong signal this is the start of a rate hike cycle, next one possible in Jul	1.170	3.15%

The ECB is set to hike rates by 25bp on 11 June. Recent communication has effectively pre-committed markets to this outcome. A hold would come as a shock and carry significant risk for a central bank trying to avoid a repeat of the 2022 inflation crisis.

As such, our four scenarios for this meeting (above) exclude anything other than a 25bp move. A 50bp hike could be included as an ultra-hawkish outcome, but there is already additional tightening priced in for later this year, which means shocking markets now seems unnecessary.

Focus on keeping markets hawkish

Markets are fully pricing in a 25bp hike, so focus will be on forward-looking language – effectively a reality check on the 64bp of total tightening priced in by year-end. The Governing Council and President Christine Lagarde will, in our view, share a key objective: to preserve these hawkish market expectations.

That's because the June move looks more like insurance than conviction. The risk of second-round inflation effects remains as hard to estimate as the next chapter for the Gulf conflict and energy prices. Inflation forecasts, typically central to the ECB reaction function, are now heavily driven by oil prices and therefore less reliable in this environment. We think the real battleground for the ECB now is inflation expectations. They are a function of rate expectations, and unless the ECB keeps those hawkish, it risks de-anchoring.

So our baseline is a hawkish hike at this June meeting. Not so much because the ECB is necessarily planning or willing to commit to another hike in July, September, or the fourth quarter, but because it is the most prudent play as it waits for clarity on geopolitics, energy, and the data. Our macro team has acknowledged rising risk of a follow-up move in September, but our baseline remains that this June hike is a one-and-done.

Rates: ECB should tread carefully to keep inflation expectations anchored

Markets are already fully pricing in this hike, but we think a confirmation could still add more upward pressure on the curve. When paired with forward guidance about future hikes, we see rates nudge slightly higher. More emphasis on inflation risks could increase markets' pricing of inflation too, adding to the upward pressure.

A (too) dovish outcome risks feeding future inflation expectations, paradoxically adding upward pressure on rates further out the curve. This would entail a significant steepening with 2-year rates edging lower on less tightening, but a sticky 10-year rate on the back of inflation concerns further out the future. A 'one-and-done' narrative would strongly push against the positioning of current markets, which have already priced in a second hike by September. The ECB should therefore likely prefer to come across as too hawkish rather than too dovish.

Markets are also sensitive to the growth outlook and have been moving on ECB comments regarding the risks. So far, market sentiment has been very positive, helped by strong US equity performance. But the balance is fragile and an ECB voicing more worries about the growth outlook could pose some downward pressure across the entire curve.

FX: ECB hawkishness can reinforce floor for EUR

Short-term rate differentials have regained explanatory power in our EUR/USD short-term fair value model. That is likely a result of a hawkish Fed repricing while ECB tightening bets were being questioned. The rewidening in the EUR:USD two-year swap rate differential has been sizeable – roughly 25bp since end-April.

That differential is now pointing down for EUR/USD – other things equal – but still allows for a spot at 1.160+ as long as oil remains well-behaved. A hawkish ECB hike on 11 June should keep that equilibrium in place. It would also increase the upside potential for EUR/USD if the Strait of Hormuz reopens, counting on a higher base for EUR short-term rates.

So, if we are right with our baseline view, there are upside risks on meeting day for EUR/USD, with a firmer near-term outlook. We remain slightly bullish into summer, targeting a gradual move back to 1.180 in a de-escalation scenario.

Author

Francesco Pesole

FX Strategist

francesco.pesole@ing.com

Michiel Tukker

Senior UK & Eurozone Rates Strategist

michiel.tukker@ing.com

Carsten Brzeski

Global Head of Macro

carsten.brzeski@ing.de

Disclaimer

This publication has been prepared by the Economic and Financial Analysis Division of ING Bank N.V. ("ING") solely for information purposes without regard to any particular user's investment objectives, financial situation, or means. *ING forms part of ING Group (being for this purpose ING Group N.V. and its subsidiary and affiliated companies).* The information in the publication is not an investment recommendation and it is not investment, legal or tax advice or an offer or solicitation to purchase or sell any financial instrument. Reasonable care has been taken to ensure that this publication is not untrue or misleading when published, but ING does not represent that it is accurate or complete. ING does not accept any liability for any direct, indirect or consequential loss arising from any use of this publication. Unless otherwise stated, any views, forecasts, or estimates are solely those of the author(s), as of the date of the publication and are subject to change without notice.

The distribution of this publication may be restricted by law or regulation in different jurisdictions and persons into whose possession this publication comes should inform themselves about, and observe, such restrictions.

Copyright and database rights protection exists in this report and it may not be reproduced, distributed or published by any person for any purpose without the prior express consent of ING. All rights are reserved. ING Bank N.V. is authorised by the Dutch Central Bank and supervised by the European Central Bank (ECB), the Dutch Central Bank (DNB) and the Dutch Authority for the Financial Markets (AFM). ING Bank N.V. is incorporated in the Netherlands (Trade Register no. 33031431 Amsterdam). In the United Kingdom this information is approved and/or communicated by ING Bank N.V., London Branch. ING Bank N.V., London Branch is authorised by the Prudential Regulation Authority and is subject to regulation by the Financial Conduct Authority and limited regulation by the Prudential Regulation Authority. ING Bank N.V., London branch is registered in England (Registration number BR000341) at 8-10 Moorgate, London EC2 6DA. For US Investors: Any person wishing to discuss this report or effect transactions in any security discussed herein should contact ING Financial Markets LLC, which is a member of the NYSE, FINRA and SIPC and part of ING, and which has accepted responsibility for the distribution of this report in the United States under applicable requirements.

Additional information is available on request. For more information about ING Group, please visit www.ing.com.